

## GLOBAL INVESTMENT SOCIETY

Investment Research Division

# lululemon athletica inc.

NASDAQ: LULU

## Recommendation: OVERWEIGHT / LONG

Current price: \$100.00      Price target: \$140 (+40% upside)

*A net-cash, high-margin brand priced for terminal decline — we see a cyclical trough, not a broken business*

September 2026      Prepared for the GIS IR selection process

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Overweight LULU with a \$140 target on ~40% upside and an asymmetric payoff

PRICE TARGET

**\$140**

+40% vs \$100.00 today

RATING

**OVERWEIGHT**

12-month horizon

WHY NOW

Shares –55% off highs; ~18% single-day drop after Q2 FY2026 print (Sep 3, 2026) overshoots the fundamentals

**Three reasons to be long**

1. Priced for terminal decline — at ~3.5x EV/EBITDA and ~10x FY2026E EPS with a net-cash balance sheet, the stock embeds a permanent impairment that the business does not support
2. International is a multi-year growth engine — China Mainland and Rest-of-World more than offset a maturing Americas and can return total revenue to mid-single-digit growth
3. Elite economics + accretive buybacks — FY2025 operating margin was 19.9% (last full year, not the trough); we model a 13.2% clean FY2026 run-rate (Q2 18.8% minus 560bps of tariff refunds), then add the \$134.5M refund once (~15.2% reported in our IS). Diluted shares are down ~7% (128.0M → 119.1M)

**Base-case DCF \$134; bear \$56 (–44%) vs bull \$202 (+102%) — downside is protected by net cash and an ~8–9% FCF yield**

*A high-quality compounder has de-rated to value multiples after a guidance reset*

## **What happened**

- LULU shares fell from a 52-week high of ~\$226 to ~\$100, including an ~18% single-day decline following the Q2 FY2026 earnings release on September 3, 2026
- Management guided FY2026 to the first annual revenue decline in company history: net revenue of \$10.35–\$10.50B (–5% to –7%) and diluted EPS of \$9.48–\$9.73
- The Americas (the majority of sales) has decelerated to negative comparable sales, while tariffs and higher promotions pressure gross margin and SG&A deleverages on lower volume

## **Where the business stands (FY2025, ended Feb 1, 2026)**

- Net revenue \$11,102.6M (+4.9% y/y); gross profit \$6,284.1M (56.6% margin); operating income \$2,210.6M (19.9% margin)
- Net income \$1,579.2M; diluted EPS \$13.26; diluted shares 119.1M (down from 128.0M in FY2022)
- Balance sheet: \$1,807.2M cash and no funded debt — a net-cash position that funds buybacks and international expansion
- Cash from operations \$1,602.5M; capital expenditures \$680.8M → ~\$0.9B free cash flow even in a decelerating year

*A discretionary macro air pocket collided with an Americas-specific slowdown — the stock prices both at once*

## **Macro (external)**

- Real GDP still grows ~2.1% y/y (FRED GDPC1 Q2'26 vs Q2'25) — not recession, but selective spending away from premium discretionary
- Inflation and economic uncertainty weighed on Americas store traffic (10-K) — macro consumer caution shows up in micro footfall
- Tariff regime: Q2 recognized \$134.5M IEEPA refunds (+560 bps GM) while new tariff layers remain an overhang on sourcing costs
- Athleisure competition intensifying at macro category level (Nike/adidas incumbents + Alo/Vuori/On challengers)

## **Micro (company-specific)**

- Americas comps: −3% FY2025 → −12% in Q2 FY2026; China +20% FY2025 but −6% in Q2 as the base scales
- 811 stores (+44 net FY2025) at ~\$1,426/sq ft — still opening doors while mature-region comps turn negative
- FY2026 guide: first annual revenue decline (−5% to −7%) and EPS \$9.48–\$9.73; Q3 guide −10% to −11%
- Clean run-rate EBIT margin ~13.2% (Q2 18.8% OM minus 560 bps tariff boost) — investors who miss this overstate sustainable margin

## **OVERLAP — WHY \$100**

- Macro weakness maps onto LULU's largest profit pool: Americas ~71% of FY25 revenue
- Tariff is simultaneously macro policy and micro P&L — Q2 optics mask run-rate margin
- The de-rating blends macro fear with a micro guide miss; both are largely in the price at ~10x FY26E EPS
- Our edge: underwrite trough economics (13.2% → 15.5% OM), not a return to 30x earnings
- International micro growth (China/RoW) is the bridge — but needs macro stability, not a free option

*Sentiment has capitulated — the sell-side is cutting targets into the print*

### **What the street is saying**

- Consensus rating has drifted to “Hold / Reduce” with a rapidly falling target; recent cuts include Goldman Sachs and JPMorgan to \$95, Morgan Stanley \$93 (Underweight), Wells Fargo \$95, and Bank of America to \$122
- Bear case: Americas saturation and negative comps, tariff-driven gross-margin pressure, SG&A deleverage, and share loss to emerging brands (Alo, Vuori, On)

### **Our differentiated view**

- The tape has moved from euphoria (30–40x earnings in 2023–24) to capitulation (~10x today) — expectations are now low enough that even a conservative recovery re-rates the stock
- At ~3.5x EV/EBITDA the market implicitly assumes revenue and margins decline in perpetuity; our base case only needs stabilization, not a return to peak growth
- Consensus is extrapolating one weak fiscal year; we underwrite the international runway and structural margins the street is discounting to zero

## **Business**

- Founded 1998 in Vancouver; designs technical athletic apparel and accessories for yoga, training, running and everyday wear
- Sells through company-operated stores, a direct e-commerce channel, and select wholesale — a predominantly DTC model that captures full retail economics and first-party data
- Reports revenue by geography: Americas (majority of sales), China Mainland (fastest-growing), and Rest of World

## **Revenue trajectory (US\$ M)**

- FY2022: 8,110,518 → op. margin 16.4%
- FY2023: 9,619,278 → op. margin 22.2%
- FY2024: 10,588,126 → op. margin 23.7%
- FY2025: 11,102,600 → op. margin 19.9%

## **GROWTH ARCHITECTURE**

### **Americas**

Mature, high-productivity base; now negative comps — the source of the market's concern

### **China Mainland**

Fastest-growing region (~20%+); large store and brand-awareness runway

### **Rest of World**

Early-stage in Europe and APAC; men's and international whitespace underpenetrated

## **Unit economics**

- Gross margin ~57–59% — premium, full-price selling with historically limited promotion
- Operating margin ~20% (peaked ~24% in FY2024) — among the best in branded apparel
- Asset-efficient store fleet: leased footprint (right-of-use assets ~\$1.6B) with high sales productivity per square foot
- Cash-generative: FY2025 CFO \$1,602.5M on \$680.8M capex → ~\$0.9B free cash flow

## **Competitive moats**

- Brand and community (ambassadors, in-store events) supporting pricing power
- Product innovation and proprietary fabrics driving repeat purchase
- First-party DTC data enabling assortment, pricing and inventory discipline
- Scale in sourcing and a growing men's and international opportunity

### **MARGIN PROFILE (FY2025)**

|                  |         |
|------------------|---------|
| Gross margin     | 56.6%   |
| Operating margin | 19.9%   |
| Net margin       | 14.2%   |
| FCF (approx.)    | ~\$0.9B |



*Structural tailwinds favor scaled brands in a consolidating category*

## **Category dynamics**

- Global activewear / athleisure is a large (~\$400B) market growing at a mid-single-digit rate, supported by health, wellness and the ongoing casualization of apparel
- The category is fragmented but consolidating toward brands with scale, technical product and omnichannel reach; Nike and adidas are incumbents, with Vuori, Alo and On emerging
- Barriers to entry are rising: brand equity, technical fabric development, supply-chain scale and a productive retail footprint are difficult to replicate quickly

## **Where LULU fits**

- A premium, category-defining brand in technical apparel with structurally higher margins than most peers
- Under-indexed internationally versus Nike/adidas — the primary multi-year growth lever
- Competition is real but LULU's scale, innovation cadence and community remain differentiated

**The market is paying trough multiples for a brand that still earned 19.9% operating margin in FY2025**

- At ~\$100 the stock trades at ~3.5x EV/EBITDA and ~10.4x FY2026E EPS — versus a 5-year history of ~20–30x earnings
- The balance sheet holds \$1.8B of cash and no funded debt, so nearly the entire enterprise value is covered by the operating business at a very low multiple
- Our base-case DCF (WACC 9.0%, terminal growth 2.25%, terminal EBIT margin 15.5%) is in the model — bear is ~\$56; downside is cushioned by net cash and FCF yield, not because bear brackets \$100
- To justify \$100 you must assume revenue and margins fall in perpetuity; that is inconsistent with international growth and the FY2026 tariff-refund tailwind

**VALUATION SNAPSHOT**

**EV / EBITDA: 3.5x**

**FY2026E P/E: 10.4x**

**FCF yield: ~8–9%**

**Net cash: \$1.8B**

**DCF base: \$134**

*China and Rest-of-World offset a maturing Americas and restore growth*

## Geographic mix shift is the bridge back to mid-single-digit revenue growth

- China Mainland has been compounding at ~20%+ with a long runway in store count and brand awareness relative to the Americas base
- Rest of World (Europe, APAC) is early-stage and under-penetrated versus global peers — an incremental multi-year contributor
- As international scales, it dilutes the drag from negative Americas comps; our model returns total revenue to ~2.3% growth (Street 3Y forecast 2.26%) after the FY2026 reset
- Men's and the digital channel add further optionality that the market is not paying for today

### REVENUE PATH (model)

FY2025A: \$11,102.6M

FY2026E: \$10,425M (−6.1%)

FY2028E: \$10,942M

FY2030E: \$11,452M

*Best-in-class margins and buybacks compound value through the trough*

## **Even a down year throws off ~\$1B of FCF that is being returned aggressively**

- Operating margin remains ~20% in FY2025 — far above most branded-apparel peers — with room to recover as tariffs and promotions normalize
- FY2025 cash from operations was \$1,602.5M; after ~\$681M capex the business generated roughly \$0.9B of free cash flow
- The company repurchased \$1.6B (FY2024) and \$1.2B (FY2025) of stock; share count has fallen from 128.0M (FY2022) to 119.1M (FY2025)
- At ~\$100 per share, every dollar of buyback retires far more shares than at prior highs — highly accretive to per-share value

### **CAPITAL RETURN**

**FY2025 CFO: \$1,602.5M**

**FY2025 capex: \$680.8M**

**FY2025 buyback: \$1,178.3M**

**Shares: 128.0M → 119.1M**

**Risk → Mitigant**

**Brand fatigue / fashion risk in a core-heavy assortment**

Deep product pipeline, community engagement and international whitespace diversify demand

**Americas comparable sales stay negative**

Expectations are already low; ~10x earnings provides a valuation cushion if declines moderate

**Tariffs compress gross margin**

Pricing power, sourcing diversification, and \$0.86/share of FY2026 tariff refunds offset part of the hit

**Competition from Alo, Vuori, On and incumbents**

Scale, fabric innovation, and under-penetrated men's / international segments defend share

**FX translation on a growing international mix**

Natural operational hedges and an active hedging program limit earnings volatility

*A sequence of events that closes the gap to intrinsic value*

|                                                                                     |                                     |                                                                                                                     |
|-------------------------------------------------------------------------------------|-------------------------------------|---------------------------------------------------------------------------------------------------------------------|
|    | <b>Q3 FY2026 (Dec 2026)</b>         | Company guided revenue –10% to –11%; watch for stabilization signals and holiday traffic / China 11.11 read-through |
|    | <b>FY2026 year-end (early 2027)</b> | First full year lapping the reset; tariff refunds and cost actions support EPS versus lowered expectations          |
|    | <b>FY2027</b>                       | Margin inflection as promotions/tariffs anniversary; continued accretive buybacks compound per-share value          |
|  | <b>FY2027–FY2028</b>                | Total revenue returns to growth as international scales — the trigger for multiple re-rating toward peers           |

Historical results with our base-case forecast (US\$ M)

| US\$ M             | FY2022 | FY2023 | FY2024 | FY2025 | FY2026E | FY2028E | FY2030E |
|--------------------|--------|--------|--------|--------|---------|---------|---------|
| Net revenue        | 8,111  | 9,619  | 10,588 | 11,103 | 10,425  | 10,942  | 11,452  |
| Gross profit       | 4,492  | 5,609  | 6,271  | 6,284  | 6,025   | 6,292   | 6,642   |
| Operating income   | 1,328  | 2,133  | 2,506  | 2,211  | 1,587   | 1,853   | 2,112   |
| Operating margin % | 16.4%  | 22.2%  | 23.7%  | 19.9%  | 15.2%   | 16.9%   | 18.4%   |
| Net income         | 855    | 1,550  | 1,815  | 1,579  | 1,142   | 1,322   | 1,496   |
| Diluted EPS (\$)   | 6.68   | 12.20  | 14.64  | 13.26  | 10.02   | 12.58   | 15.40   |

FY2026E reported OM 15.2% = clean ~13.9% (56.5% GM – 42.5% SG&A) plus \$134.5M IEEPA refund (~+1.3 ppt). DCF uses the Q2 clean 13.2% run-rate as its trough.

A net-cash balance sheet underpins downside protection (US\$ M)

| US\$ M             | FY2022 | FY2023 | FY2024 | FY2025 | FY2026E | FY2028E | FY2030E |
|--------------------|--------|--------|--------|--------|---------|---------|---------|
| Cash & equivalents | 1,155  | 2,244  | 1,984  | 1,807  | 2,375   | 3,778   | 5,648   |
| Inventories        | 1,447  | 1,324  | 1,442  | 1,701  | 1,542   | 1,535   | 1,587   |
| Total assets       | 5,607  | 7,092  | 7,603  | 8,457  | 8,946   | 10,728  | 12,888  |
| Total liabilities  | 2,458  | 2,860  | 3,279  | 3,495  | 3,280   | 3,432   | 3,586   |
| Total equity       | 3,149  | 4,232  | 4,324  | 4,962  | 5,666   | 7,296   | 9,303   |
| Funded debt        | 0      | 0      | 0      | 0      | 0       | 0       | 0       |

No funded debt and a growing cash balance fund buybacks and international expansion — the core of our margin of safety



Durable free cash flow through the trough (US\$ M)

| US\$ M               | FY2022 | FY2023 | FY2024  | FY2025  | FY2026E | FY2028E | FY2030E |
|----------------------|--------|--------|---------|---------|---------|---------|---------|
| Cash from operations | 966    | 2,296  | 2,273   | 1,602   | 1,797   | 1,894   | 2,068   |
| Capital expenditures | (639)  | (652)  | (689)   | (681)   | (730)   | (602)   | (573)   |
| Free cash flow       | 328    | 1,644  | 1,583   | 922     | 1,067   | 1,292   | 1,495   |
| Share repurchases    | (444)  | (559)  | (1,637) | (1,178) | (500)   | (500)   | (500)   |
| D&A                  | 292    | 379    | 447     | 496     | 480     | 492     | 515     |

Free cash flow stays around \$1B+ even in the FY2026 reset year; comfortably funding continued repurchases

## Capital structure

- No funded debt; an undrawn revolving credit facility provides liquidity
- \$1,807.2M cash and equivalents — a net-cash position
- Market EV at ~\$100 is ~\$9.3B (~3.5× FY25 EBITDA); intrinsic DCF enterprise value is ~\$15B
- We relever Yahoo 5Y  $\beta$  (0.86) at FY25 ASC 842 lease debt ÷ market cap (~0.16 D/E) →  $\beta$  used  $\approx$  0.84. Damodaran Retail  $\beta$  (0.95) is shown for reference only.
- Capital returned via buybacks (no dividend); FY2025 repurchases \$1,178.3M

### WACC BUILD (CAPM)

Risk-free rate (10-yr UST)    **4.8%**

Equity risk premium    **6.0%**

Beta (relevered; lease adj.)    **0.84**

**Cost of equity    9.9%**

Lease-debt weight    **14%**

Equity weight    **86%**

**WACC = 9.0%**

Multiple methods converge above the current price — target \$140



We set a 12-month target of \$140 — above the Gordon DCF of \$134, for a partial re-rating toward historical multiples — implying ~40% upside

The P/E low end (~\$96) sits near today's price, showing how little recovery is required for the stock to work

Base-case assumptions

| Assumption                   | Value                                 |
|------------------------------|---------------------------------------|
| Revenue growth (FY26 → FY30) | −6.1% → +2.3%                         |
| EBIT margin (FY26 → FY30)    | 13.2% clean → 15.5% (+ \$134.5M FY26) |
| Tax rate                     | 30%                                   |
| Capex % of revenue           | 5.5% blend                            |
| WACC                         | 9.0%                                  |
| Terminal growth              | 2.25%                                 |

VALUATION OUTPUT (US\$ M)

|                                |        |
|--------------------------------|--------|
| PV of explicit FCF (FY26–FY30) | 3,944  |
| PV of terminal value           | 10,933 |
| Enterprise value               | 14,876 |
| Plus: cash                     | 1,807  |
| Equity value                   | 14,885 |
| ÷ Diluted shares (M)           | 111.4  |

Implied value: \$134 / share

Sensitivity — implied share price (WACC vs terminal growth)

| WACC \ g | 1.5%  | 2.0%  | 2.25% | 2.5%  | 3.0%  |
|----------|-------|-------|-------|-------|-------|
| 9.5%     | \$115 | \$121 | \$124 | \$127 | \$135 |
| 10.0%    | \$108 | \$113 | \$116 | \$119 | \$125 |
| 10.5%    | \$102 | \$106 | \$109 | \$111 | \$117 |
| 11.0%    | \$97  | \$100 | \$103 | \$105 | \$110 |
| 11.5%    | \$92  | \$95  | \$97  | \$99  | \$103 |

*PitchBook pubcomps are the current tape; Alo still has no EV/EBITDA*

| Company                 | EV/EBITDA   | P/E         | EV (\$000)        | EBITDA (\$000)   |
|-------------------------|-------------|-------------|-------------------|------------------|
| <b>lululemon (LULU)</b> | <b>4.7x</b> | <b>8.3x</b> | <b>11,890,440</b> | <b>2,548,084</b> |
| Nike (NKE)              | 12.7x       | 18.3x       | 58,972,350        | 4,647,000        |
| adidas (ADS)            | 9.2x        | 19.1x       | 35,661,944        | 3,857,684        |
| Deckers (DECK)          | 7.9x        | 12.1x       | 10,555,510        | 1,329,439        |
| Crocs (CROX)            | 7.8x        | 10.3x       | 7,153,911         | 922,278          |
| Levi Strauss (LEVI)     | 9.6x        | 15.0x       | 9,422,753         | 976,700          |
| Kontoor (KTB)           | 12.9x       | 18.0x       | 5,236,269         | 407,521          |
| Alo Yoga (private)      | n.a.        | n.m.        | —                 | —                |

**Read-through — we do not average these for terminal value**

- PitchBook core mean (ex-UAA, ex-WSM/MOV/LZB) is the current athletic/apparel tape. UAA has negative EBITDA so it is out of the average
- Selected TV is the Gordon identity (~7.4x FY30 EBITDA at base WACC/g). A 2.25% g year is not today's NKE 12.7x or WSM 15.4x
- Alo EV/EBITDA is still n.a. Implied 5.0x is EV/Sales on an unclosed \$10bn ask — not in this PitchBook set and not the TV

**BEAR \$56**

−44% vs \$100

- FY2026 revenue −9%; growth stays negative (−1% avg FY28–30)
- Terminal EBIT margin 12.0%
- WACC 11.0%; terminal growth 1.5%
- Americas decline persists; share loss continues

**BASE \$134**

+34% vs \$100

- FY2026 revenue −6.1%; then +2.3% (Street 3Y forecast)
- Clean EBIT margin 13.2% → 15.5%; + \$134.5M refund in FY26 only
- WACC 9.0%; terminal growth 2.25%
- International offsets a stabilizing Americas

**BULL \$202**

+102% vs \$100

- FY2026 revenue −4%; +6% avg FY27–30
- Terminal EBIT margin 19.0%
- WACC 9.5%; terminal growth 3.0%
- Margin recovery toward peak; brand re-accelerates

***Probability-weighted value (25% / 50% / 25%) ≈ \$131 — the risk/reward skews decisively to the upside***

*Data provenance and standard research disclaimer*

## **Sources**

- Historical financials: lululemon athletica inc. Forms 10-K via SEC EDGAR (CIK 0001397187); FY2025 fiscal year ended February 1, 2026
- Q2 FY2026 results and FY2026 guidance: company earnings release dated September 3, 2026
- Market data (price, shares, beta): public market sources as of early September 2026
- Projections, DCF and comparable-company analysis: GIS Investment Research models, built from scratch for this assignment
- Alo Yoga: Reuters 2023 Moelis ask ~\$10bn (no deal announced, Reuters 2026) and Forbes Color Image sales nearly \$2bn. No page prints EV/EBITDA; implied 5.0x is EV/Sales, not the FY30 exit

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